

13 May 2026 07:13:14 ET | 12 pages

# Alibaba Group Holding (BABA.N)

FY4Q26 Revs &amp; Profit Missed; Cloud +38% yoy; CMR +8%/+1%

## CITI'S TAKE

Ali's FY4Q26 results mixed with total revs +3% yoy to Rmb243.4bn, +0.4/-1.3% vs. our/Bloomberg consensus estimate of Rmb242.4bn/Rmb246.5bn. 1) Total **Alibaba China E-commerce Group** +6% yoy to Rmb122.2bn, of which **CMR** +1% yoy to Rmb73.0bn vs our estimate of Rmb72.0bn (1.4% above ours); direct sales, logistics and others -6% yoy to Rmb23.3bn, quick commerce (Taobao Instant Commerce and Eleme) +57% yoy to Rmb20.0bn (6.6% above our Rmb18.7bn); 2) **Ali International Digital Commerce Group (AIDC)** +6% yoy to Rmb35.4bn, vs our Rmb34.6bn; 3) **Cloud Intelligence Group** +38% yoy to Rmb41.6bn, vs our/VA consensus of Rmb42.5bn/Rmb42.1bn; 4) All Others -21% yoy to Rmb65.5mn, vs our Rmb64.1bn. Non-GAAP NI to ordinary shareholders -95.0% yoy to Rmb1.51bn, well below our Rmb10.8bn and Bloomberg consensus Rmb14.3bn, mainly due to inline revenue, lower GPM, higher R&D and G&A partly offset by lower S&M. Non-GAAP EPADS was Rmb0.62, vs our/consensus Rmb4.51/Rmb6.04.

**Margins & metrics** –Total adj. EBITA was Rmb5.10bn vs our estimate of Rmb4.12bn, come in at 2.1% margin vs 13.8% a year ago. Adj. EBITA for Alibaba China E-commerce Group declined -40% yoy to Rmb24.0bn (vs our Rmb23.1bn) with margin declining to 19.6%, vs. 34% same quarter last year. Adj. EBITA for Cloud Intelligence Group grew 57% yoy to Rmb3.80bn, vs our Rmb3.8bn, or 9.1% margin vs 8.0% same period last year; and adj. EBITA for AIDC reached a loss of Rmb138mn vs our Rmb-520mn or -0.4% margin vs -11% same quarter last year. EBITA margin for All Others at -32.3% (or Rmb-21.2bn vs our Rmb-20.2bn), vs. -4.1% same period last year. Total adj. EBITDA -61% y/y to Rmb16.4bn, or 7% margin vs our est of Rmb15.8bn or 6.5% margin.

**Implications** — While external cloud revs grew by 40% yoy, total cloud revs growth of 38% yoy, came in softer than our/consensus pre-result expectation of 41%/40% yoy. That said, mgmt noted that AI-related revs reached 30% of total cloud revs or Rmb8.97bn, representing 11<sup>th</sup> consecutive quarter of triple digit growth. This is ahead of our newly ([link](#)) forecast of Rmb7.68bn revs. CMR was relatively in-line at 1% after adjusting the accounting treatment. While ecommerce adjusted EBITA of Rmb24bn beat our forecast, we believe it was below VA consensus of Rmb25.4bn. All other EBITA loss of Rmb21.2bn also came slightly bigger than our forecast and VA consensus had a much lower loss assumption. Capex spend of Rmb26.9bn was lower than our forecast of Rmb32bn. **On the call**, we hope to get more update on Cloud demand and revs growth outlook and cloud margins trend, latest consumption sentiment and CMR growth, loss for All Others and overall quick commerce investment and UE improvement trend. We also hope to get more color on Qwen integration into Taobao and how will that translate to future GMV conversion and CMR growth.

**Focus on call** – 1) Mar Q GMV growth and counter revenues measure on CMR and expectation for future quarter CMR growth; 2) demand for cloud, MaaS, latest model

## Buy

|                             |              |
|-----------------------------|--------------|
| Price (12 May 26 16:00)     | US\$134.78   |
| Target price                | US\$205.00   |
| Expected share price return | 52.1%        |
| Expected dividend yield     | 1.5%         |
| Expected total return       | 53.6%        |
| Market Cap                  | US\$323,344M |

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See Appendix A-1 for Analyst Certification, Important Disclosures and Research Analyst Affiliations

update; 3) Cloud price hike and Cloud margin and competitive landscape; 4) Shangou market share and UE reduction trend; 5) latest macro and consumption sentiment; 6) capex and supply constraints; 7) latest progress and update of T-Head unit; and 8) shareholder return.

**Conference call details**– BABA will hold a conference call to discuss the financial results on May 13, 2026 7:30 a.m. U.S. Eastern Time (May 13, 2026 7:30 p.m. Hong Kong Time). All participants must pre-register to join this conference call using the Participant Registration link below: [Link](#)

Figure 1. Alibaba – Results at a Glance

|                                                     |                | Citi           |               | Consensus      |               |                |                |
|-----------------------------------------------------|----------------|----------------|---------------|----------------|---------------|----------------|----------------|
| Income statement (Rmb million)                      |                | 4Q26           | Diff %        | 4Q26           | Diff %        | YoY            | QoQ            |
| (Year end Mar 31)                                   |                |                |               |                |               |                |                |
| <b>Alibaba China E-commerce Group</b>               | <b>122,220</b> | <b>121,437</b> | <b>0.6%</b>   |                |               | <b>6.0%</b>    | <b>-23.3%</b>  |
| E-commerce                                          | 96,292         | 96,544         | -0.3%         |                |               | -0.6%          | -26.8%         |
| - CMR                                               | 73,024         | 72,015         | 1.4%          |                |               | 1.2%           | -28.9%         |
| - Direct sales, logistics and others                | 23,268         | 24,529         | -5.1%         |                |               | -5.7%          | -19.5%         |
| Quick commerce                                      | 19,988         | 18,758         | 6.6%          |                |               | 57.2%          | -4.1%          |
| China commerce wholesale                            | 5,940          | 6,135          | -3.2%         |                |               | 2.6%           | -14.2%         |
| <b>Alibaba International Digital Commerce Group</b> | <b>35,429</b>  | <b>34,639</b>  | <b>2.3%</b>   |                |               | <b>5.5%</b>    | <b>-9.6%</b>   |
| - commerce retail                                   | 28,917         | 28,155         | 2.7%          |                |               | 4.8%           | -10.6%         |
| - commerce wholesale                                | 6,512          | 6,484          | 0.4%          |                |               | 9.0%           | -4.9%          |
| <b>Cloud Intelligence Group</b>                     | <b>41,626</b>  | <b>42,479</b>  | <b>-2.0%</b>  |                |               | <b>38.2%</b>   | <b>-3.8%</b>   |
| All others                                          | 65,459         | 64,062         | 2.2%          |                |               | -21.4%         | -2.8%          |
| Unallocated                                         | 641            | 600            | 6.8%          |                |               | 43.7%          | 6.3%           |
| Inter-segment elimination                           | (21,995)       | -20,855        | 5.5%          |                |               | -16.4%         | -11.8%         |
| <b>Consolidated revenue</b>                         | <b>243,380</b> | <b>242,361</b> | <b>0.4%</b>   | <b>246,507</b> | <b>-1.3%</b>  | <b>2.9%</b>    | <b>-14.6%</b>  |
| Cost of revenue                                     | 159,392        | 147,598        | 8.0%          |                |               | 9.5%           | -6.0%          |
| <b>Gross profit</b>                                 | <b>83,988</b>  | <b>94,763</b>  | <b>-11.4%</b> |                |               | <b>-7.5%</b>   | <b>-27.2%</b>  |
| Gross margin %                                      | 34.5%          | 39.1%          |               |                |               |                |                |
| Product development expenses                        | 18,957         | 16,965         | 11.7%         |                |               | 26.9%          | 22.5%          |
| Sales and marketing expenses                        | 53,415         | 69,073         | -22.7%        |                |               | 47.6%          | -25.7%         |
| General and administrative expenses                 | 9,949          | 7,756          | 28.3%         |                |               | -3.7%          | 19.1%          |
| Amortization of intangible assets                   | 2,605          | 841            | 209.8%        |                |               | 212.7%         | 209.8%         |
| <b>Total costs and expenses</b>                     | <b>84,836</b>  | <b>94,635</b>  | <b>-10.4%</b> |                |               | <b>36.0%</b>   | <b>-18.9%</b>  |
| <b>Income (loss) from operations (GAAP)</b>         | <b>(848)</b>   | <b>128</b>     | <b>NM</b>     |                |               | <b>-103.0%</b> | <b>-108.0%</b> |
| GAAP Op margin                                      | -0.3%          | 0.1%           |               |                |               |                |                |
| <b>Income/(loss) from operations (Non-GAAP)</b>     | <b>5,102</b>   | <b>4,120</b>   | <b>23.8%</b>  |                |               | <b>-84.4%</b>  | <b>-78.2%</b>  |
| Non-GAAP Op margin                                  | 2.1%           | 1.7%           |               |                |               |                |                |
| <b>Net income (loss) - GAAP</b>                     | <b>23,502</b>  | <b>6,059</b>   | <b>287.9%</b> | <b>10,295</b>  | <b>128.3%</b> | <b>96.3%</b>   | <b>50.4%</b>   |
| GAAP Net margin                                     | 9.7%           | 2.5%           |               |                |               |                |                |
| <b>Non-GAAP adjusted net income</b>                 | <b>1,506</b>   | <b>10,842</b>  | <b>-86.1%</b> | <b>14,269</b>  | <b>-89.4%</b> | <b>-95.0%</b>  | <b>-91.2%</b>  |
| Non-GAAP Net margin                                 | 0.6%           | 4.5%           |               |                |               |                |                |
| GAAP earnings per ADS—Basic                         | 10.97          | 2.97           | 269.8%        |                |               |                |                |
| <b>GAAP earnings per ADS—Diluted</b>                | <b>10.36</b>   | <b>2.85</b>    | <b>263.2%</b> | <b>4.49</b>    | <b>130.5%</b> | <b>100.3%</b>  | <b>74.7%</b>   |
| Non-GAAP earnings per ADS - Basic                   | 0.04           | 4.35           | -99.1%        |                |               |                |                |
| <b>Non-GAAP earnings per ADS—Diluted</b>            | <b>0.62</b>    | <b>4.51</b>    | <b>-86.2%</b> | <b>6.04</b>    | <b>-89.7%</b> | <b>-95.0%</b>  | <b>-91.2%</b>  |
| <b>Adjusted EBITDA</b>                              | <b>16,435</b>  | <b>15,780</b>  | <b>4.1%</b>   | <b>24,062</b>  | <b>-31.7%</b> | <b>-60.7%</b>  | <b>-51.7%</b>  |
| Adjusted EBITDA margin                              | 6.8%           | 6.5%           |               |                |               |                |                |
| <b>Total adjusted EBITA</b>                         | <b>5,102</b>   | <b>4,120</b>   | <b>23.8%</b>  |                |               | <b>-84.4%</b>  | <b>-78.2%</b>  |
| Adjusted EBITA margin                               | 2.1%           | 1.7%           |               |                |               |                |                |
| Alibaba China E-commerce Group                      | 24,010         | 23,073         | 4.1%          |                |               | -39.6%         | -30.6%         |
| Adjusted EBITA margin                               | 20%            | 19.0%          |               |                |               |                |                |
| Alibaba International Digital Commerce Group        | (138)          | (520)          | NM            |                |               | -96.1%         | -93.2%         |
| Adjusted EBITA margin                               | 0%             | -2%            |               |                |               |                |                |
| Cloud Intelligence Group                            | 3,796          | 3,823          | -0.7%         |                |               | 56.9%          | -2.9%          |
| Adjusted EBITA margin                               | 9%             | 9%             |               |                |               |                |                |

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Source: Company Reports, Bloomberg, Citi Research

# Alibaba Group Holding

## Valuation

Our target price for Alibaba N-shares of US\$205 is based on 10x P/E on FY2027E Ecommerce group net profit, 6.5x P/S on FY2027E Cloud Intelligence Group revenue, 2.0x P/S on AIDC Group revenue, and 1.0x P/S on all other businesses. Our target multiples are benchmarked against comps. We also assign a 30% discount to net cash position, in-line with our SOTP for other internet peers. Our SOTP fair value comes to US\$205 per share.

## Risks

Key downside risks that could prevent the shares from reaching our target price include: (i) failure in executing its new retail strategy; ii) investment spend and margins pressure become worse than expected; iii) slowdown of user traffic and online GMV and losing appeal to brands & merchants; iv) integration risks for newly acquired entities; v) slowdown of the Chinese and global economies and overhang of US-China or other trade disputes; and vi) regulatory risks on poor product quality and integrity of merchants.

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# Appendix A-1

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### Alibaba Group Holding (BABA)

Ratings and Target Price History  
Fundamental Research

Analyst: Alicia Yap, CFA



| Date                 | Rating | Target Price | Closing Price |
|----------------------|--------|--------------|---------------|
| 1 18-May-23 19:50:00 | 1      | *144.00      | 84.37         |
| 2 09-Jul-23 17:07:52 | 1      | *149.00      | 89.08         |
| 3 10-Aug-23 20:47:07 | 1      | *151.00      | 97.59         |
| 4 08-Oct-23 17:09:43 | 1      | *147.00      | 84.66         |
| 5 16-Nov-23 18:13:37 | 1      | *142.00      | 77.82         |
| 6 09-Jan-24 13:40:44 | 1      | *125.00      | 70.85         |
| 7 07-Feb-24 18:37:09 | 1      | *126.00      | 72.44         |
| 8 09-Apr-24 18:25:26 | 1      | *124.00      | 71.80         |

\*Indicates Change

| Date                  | Rating | Target Price | Closing Price |
|-----------------------|--------|--------------|---------------|
| 9 15-May-24 04:34:45  | 1      | *122.00      | 79.67         |
| 10 15-Aug-24 16:50:03 | 1      | *116.00      | 78.91         |
| 11 29-Sep-24 22:45:36 | 1      | *136.00      | 106.48        |
| 12 09-Oct-24 09:54:52 | 1      | *135.00      | 107.04        |
| 13 17-Nov-24 16:15:27 | 1      | *133.00      | 87.89         |
| 14 09-Jan-25 17:58:55 | 1      | *138.00      | 83.03         |
| 15 20-Feb-25 16:33:13 | 1      | *170.00      | 134.90        |
| 16 08-Apr-25 05:01:59 | 1      | *169.00      | 98.59         |

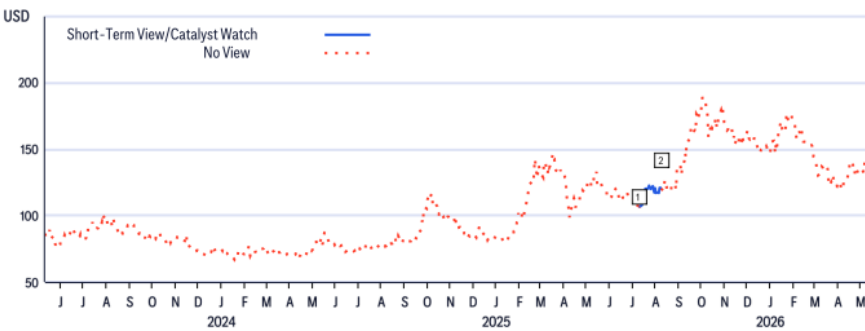
| Date                  | Rating | Target Price | Closing Price |
|-----------------------|--------|--------------|---------------|
| 17 10-Jul-25 07:57:24 | 1      | *148.00      | 106.64        |
| 18 31-Aug-25 17:30:14 | 1      | *187.00      | 135.00        |
| 19 24-Sep-25 15:11:51 | 1      | *217.00      | 176.44        |
| 20 08-Oct-25 07:59:47 | 1      | *218.00      | 181.12        |
| 21 25-Nov-25 16:54:34 | 1      | *225.00      | 157.01        |
| 22 08-Jan-26 09:37:26 | 1      | *197.00      | 154.47        |
| 23 19-Mar-26 16:25:38 | 1      | *200.00      | 124.90        |
| 24 08-Apr-26 06:24:46 | 1      | *205.00      | 125.32        |

Rating/target price changes above reflect Eastern Time

### Alibaba Group Holding (BABA)

Short-Term View/Catalyst Watch Research

Analyst: Alicia Yap, CFA



| Date                 | Action  | Expected Direction | Duration | Closing Price |
|----------------------|---------|--------------------|----------|---------------|
| 1 10-Jul-25 03:57:24 | Add STV | Downside           | 30 Days  | 106.64        |

| Date                 | Action     | Expected Direction | Duration | Closing Price |
|----------------------|------------|--------------------|----------|---------------|
| 2 08-Aug-25 14:17:52 | Remove STV | Downside           | 30 Days  | 120.36        |

CW - Catalyst Watch, STV - Short-Term View

Rating/target price changes above reflect Eastern Time

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